ANNEXURE - C

SCHEME OF REDUCTION OF SHARE CAPITAL

BETWEEN

BLUE CHIP INDIA LIMITED
(CIN: L65991WB1993PLC060597)

AND

ITS SHAREHOLDERS

(UNDER SECTION 66 AND OTHER APPLICABLE SECTIONS OF THE COMPANIES ACT, 2013 AND THE NATIONAL COMPANY LAW TRIBUNAL (PROCEDURE FOR REDUCTION OF SHARE CAPITAL OF COMPANY) RULES, 2016)

BLUE CHIP INDIA LTD. KOLKATA A-1

BLUE CHIP INDIA LTD. KOLKATA A-1

SCHEME OF REDUCTION OF SHARE CAPITAL

PREAMBLE OF THE SCHEME

This scheme of reduction of share capital is presented by **BLUE CHIP INDIA LIMITED** (CIN: L65991WB1993PLC060597) is a public company **('Company'** or **'BCIL')**, pursuant to the provisions of Section 66 and other applicable provisions of the Companies Act, 2013 and the NCLT (Procedure for Reduction of Share Capital of Company) Rules, 2016 **('Scheme')**.

PARTS OF THE SCHEME

This Scheme is divided into following parts:

a) **PART A** which deals with definitions and interpretations;

b) **PART B** which deals with details of the Company;

c) **PART C** which deals with reduction of share capital of the Company and listing of shares post reduction of capital; and

d) **PART D** which deals with general terms and conditions applicable to the Scheme and other matters consequential, incidental, or integrally connected therewith of.

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

PART A

DEFINITIONS AND INTERPRETATIONS

1. DEFINITIONS

In this Scheme, unless inconsistent with the subject or context thereof, the following expressions shall have the meanings respectively assigned to them:

1.1. **'Accumulated Losses'** shall mean the debit balance in the profit and loss account as shown in the Audited Accounts of the Company as on March 31, 2025;

1.2. **'Act'** or the **'the Act'** means the Companies Act, 2013 as notified, and ordinances, rules and regulations made thereunder and shall include any statutory modification, re-enactment or amendments thereof, from time to time;

1.3. **'Applicable Law(s)' or 'Law(s)'** means any statutes, notification, bye laws, rules, regulations, guidelines, or common law, policy, code, directives, ordinance, Schemes, notices, instruments, decrees, orders or instructions enacted or issued or sanctioned by any Appropriate Authority including any modification or re-enactment thereof for the time being in force.

1.4. **'Appropriate Authority'** means any governmental, statutory, regulatory, departmental or public body or authority of the relevant jurisdictions, including (without limitation) if applicable, the National Company Law Tribunal, Registrar of Companies, Regional Director, Ministry of Corporate Affairs, Official Liquidator, Bombay Stock Exchange, Securities and Exchange Board of India and other regulatory authorities;

1.5. **'Appointed Date'** means 1st April 2025 or such other calendar date as approved by the Hon'ble NCLT;

1.6. **'Board'** or **'Board of Directors'** in relation to each Company means the Board of such Company and shall include a committee of directors or any person authorised by such Board or such committee of directors, duly constituted and authorised for matters pertaining or relating to this Scheme;

1.7. **'BSE'** shall mean Bombay Stock Exchange Limited; and **'NSE'** shall mean National Stock Exchange Limited.

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

1.8. **'Effective Date'** means the date on which the certified copy of the order of NCLT sanctioning the Scheme is filed with the Registrar of Companies, Chennai;

Any references in this Scheme to the 'date of coming into effect of this Scheme' or 'effectiveness of the Scheme' or 'Scheme taking effect' or 'upon this Scheme coming into effect' shall mean the Effective Date;

1.9. **'Employees'** means all the permanent employees, temporary employees and/or part-time employees of the Company as on the Effective Date;

1.10. **'Equity Shares'** means 5,53,04,340 fully Paid-Up equity shares of Rs 2/- each as issued by the Company;

1.11. **"Income-tax Act, 1961'** or **'IT Act'** means the Income-Tax Act, 1961, as may be amended or supplemented from time to time, including any statutory modifications, re-enactments or replacement thereof, together with all applicable rules, regulations, by-laws, orders, ordinances, directions, notifications, policies, clarifications and the like issued thereunder;

1.12. **'Listing Agreement'** shall mean the agreement that is entered into between a recognised stock exchange and an entity, on the application of that entity to the recognised stock exchange, undertaking to comply with conditions for listing of designed securities as per the provisions of the Listing Regulations;

1.13. **'Listing Regulations'** shall mean the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time;

1.14. **'National Company Law Tribunal'** or **'NCLT'** means the National Company Law Tribunal, Kolkata Bench, West Bengal, including all its benches whose jurisdiction the registered office of the Company is situated;

1.15. **'BCIL'** or **'Company'** shall mean **Blue Chip India Limited** (CIN: L65991WB1993PLC060597), a Public Limited Company incorporated on 27th October 1993 and listed at NSE, BSE and CSE , having registered office at 10 Princep Street, 2nd Floor, P S BOW Bazar, Kolkata, India – 700072. Stock Exchange code of BSE – 531936, NSE – BLUECHIP, CSE - 12057

BLUE CHIP INDIA LTD. A7 KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

1.16. **'Order'** means an order passed by the NCLT sanctioning this Scheme of Reduction of Capital under section 66 of the Companies Act, 2013, and rules framed thereunder;

1.17. **'Record Date'** means the specific date chosen by a company in consultation with the designated stock exchange as per the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 to determine which shareholders are eligible to receive new shares post reduction of capital of the company. It's the cut-off point for compiling a list of eligible shareholders;

1.18. **'Registrar of Companies'** or **'ROC'** means the Registrar of Companies (ROC) in Kolkata, in West Bengal, India;

1.19 **"Regional Director of Companies"** means the Regional Directorate, Chennai, Tamil Nadu (Southern Region);

1.20. **"RSC Procedure Rules'** means NCLT (Procedure for Reduction of Share Capital of Company) Rules, 2016;

1.21. **'Rs'** or **'Rupee(s)'** means Indian Rupee, the lawful currency of the Republic of India;

1.22. **'Scheme'** or **'this Scheme'** or **'the Scheme'** means this scheme of reduction of share capital between the Company and its shareholders in its present form or with such alterations(s) / modifications (s) as may be approved, imposed or directed by NCLT. This is a reduction of capital of the company under Section 66 of the Companies Act, 2013, and the National Company Law Tribunal (Procedure for Reduction of Share Capital of Company) Rules, 2016.

1.23. **'SEBI'** means Securities and Exchange Board of India.

1.24. **'SEBI Circular'** means SEBI Master Circular No SEBI/HO/DDHS/PoD1/P/CIR/2023/108 dated July 29, 2022 (updated as on June 30, 2023 and SEBI/HO/CFD/CFD-PoD-2/CIR/P/2024/185 December 31, 2024) read with Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time and *SEBI amendment connected with regulation 37(6) of the Listing Regulations, vide gazette notification dated December 12, 2024* ;

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

1.25. **'Tax' or 'Taxes' or Taxation'** shall mean all taxes (direct/indirect) on net income, gross income, gross receipts, sales, use, services, ad valorem, value-added, capital gains, corporate income tax, minimum alternate tax, buyback distribution tax, dividend distribution tax, transfer, fanchise and profits; withholding tax; property tax; water tax; any tax payable in a representative capacity, goods and service tax; service tax, value-added tax, duties of custom and excise, octroi duty, entry tax, stamp duty, other governmental charges or duties or other taxes or statutory payments in relation to contract labour and/ or other contractors and/ or sub-contractors, statutory pension or other employment benefit plan contributions, fees, assessments or charges of any kind whatsoever, including any surcharge or cess thereon, together with any interest and any penalties, additions to tax or additional amount with respect thereto; and Taxation will be construed accordingly;

All terms and expressions which are used in this Scheme but not defined herein shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act, the Securities Contract (Regulation) Act, 1956, the Securities and Exchange Board of India Act, 1992, Depositories Act, 1996, Listing Regulations, Listing Agreement or other Applicable Laws, rules, regulations, bye-laws, as the case may be, including any statutory amendment, modification or re-enactment thereof, from time to time.

2. INTERPRETATION

In this Scheme, unless the context otherwise requires:

2.1. Words denoting singular shall include plural and vice versa;

2.2. References to "persons" shall include individuals, body corporates (wherever incorporated), government, state or agency of state, unincorporated entities, joint ventures, associations, partnerships and proprietorships;

2.3 Headings, subheadings, titles, subtitles to clauses, sub-clauses and paragraphs are for information and convenience only and shall not form part of the operative provisions of this Scheme and shall be ignored in construing the same;

2.4 References to the word "include" or "including" shall be construed without limitation;

2.5. References to days, months and years are to calendar days, calendar months and calendar years, respectively;

BLUE CHIP INDIA LTD. KOLKATA

2.6. Reference to an article, clause, section, paragraph, or schedule is, unless indicated to the contrary, a reference to an article, clause, section, paragraph or schedule of this Scheme;

2.7. Reference to a document includes an amendment or supplement to, or replacement or novation of, that document;

2.8. Word and expression(s) elsewhere defined in the Scheme will have the meaning(s) respectively ascribed to them;

2.9. reference to any law or to any provision thereof shall include references to any such law or to any provision thereof as it may, after the date hereof, from time to time, be amended, supplemented or re-enacted, or to any law or any provision which replaces it, and any reference to a statutory provision shall include any subordinate legislation made from time to time under that provision;

2.10. A reference to a balance sheet or profit and loss account shall include a reference to any note forming part of it;

2.11. One gender includes all genders and references to any gender include a reference to other genders; references to "it" shall be deemed to include references to "him" or "her" as the case may be; and

2.12. The Registered Office of the Company is presently located in the State of Kolkata under the jurisdiction of Registrar of Companies, Kolkata, West Bengal.

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

PART B

DETAILS OF THE COMPANY

3. BACKGROUND OF THE COMPANY SINCE INCORPORATION

3.1. The Company was incorporated on 27th October 1993 under the provisions of the Companies Act, 1956, as a Company limited by Shares under the jurisdiction of Registrar of Companies, Kolkata, West Bengal.

3.2. Presently, the registered office of the Company is situated at 10 Princep Street, 2nd Floor, P S BOW Bazar, Kolkata, India – 700072.

3.3. The Company has one type of Shares, "Equity Shares" of face value of Rs 2/- each. The Equity Shares of the Company are listed on the NSE, BSE and CSE.

3.4. This Scheme is made pursuant to the provisions of Section 66 of the Companies Act, 2013 and other applicable provisions of the Act and provides for writing off the Accumulated Losses against the capital of the company. The Losses on account of Businesses carried by the Company.

4. (A) MAIN OBJECTS OF THE COMPANY

4.1. That the main objects of the Company, as per Clause III (A) of the Memorandum of Association of the Company, are:

To carry on the business in India, or anywhere in the world, the business to manufacture, produce, assemble, repair, install, maintain, convert, service, overhaul, test, buy, sell, exchange, modify, design, develop, export, import, renovate, discover, research, improve' mechanise, mould, print, insulate, hire, let on hire, broadcast, telecast, relax, exhibit, inform and to act as wholesalers, retailers, agents, stockist, distributors, showroom owners' franchiser or otherwise to deal in all sorts of items, systems, plants, machines, instruments, apparatus, appliance, devices, articles or things of communication of different models, capacities, characteristic, applications and uses in all its branches such as radio communications, telecommunications, space communications, satellite communications, wireless communications, computer communication, internet, electronic mail and digital communication, telephonic and telegraphic communication, video conferencing, wave communications, underwater communications, computer software, national and international cable, sub

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD KOLKATA

marine links, fiber link optic cable, programs, worldwide web, internet, multimedia based systems, electronic, computing, information technology, media, T. V., Print Media and any other devices or thing of communications that are existing in present or as may be discovered in future, and to carry out all foregoing activities or components, parts, thing, fixture, accessories, tools, devices and systems, connected thereto and to do all incidental acts and things necessary for the attainment of foregoing objects.

2. To carry on the business of buying, selling, trading, marketing, providing or distributing, exporting and importing and to act as agents, brokers and franchisee of various goods, products of all sorts of services through e-commerce activities, internet, television/sky shopping network, e-magazine for industrial, commercial, domestic, public utility defence, government and other general customers or section or society and to act as consultants and advisors on information/internet system and purveyors or information and services and to promote, encourage, establish, develop, maintain, organise, undertake, manage, operate, conduct and to run in India or abroad internal/computer training centres and provide consultancy on information technology, computer systems, software, hardware, web solutions and to develop and act set up websites.

3. To carry on in India or elsewhere any of the businesses in the field of internet service providers, telecommunications in all its ramifications and to provide services rerated to E-Commerce, Electronic Data interchange, Networking, High End Voice, Data and image Transfer Solutions, Web TV, On Line Shopping, Creation of Web Sites and Web based Solutions, CGI interface, FTP Access, Usenet and Telnet, internet Relay Chat, Domain name Registration and Routing, Computer Storage Space Solutions or any other technological advances in this field and to dear in any manner whatsoever in such products and to develop, design, produce, maintain and deal in any manner whatsoever with information technology and communication based products and services through the internet, worldwide computer network or otherwise and to provide services of consultancy and training, designing, coding and integrating systems in all these ,fields and to develop, configure, manufacture or deal in computer hardware and systems and accessories, peripherals therefore, digital products and the development and marketing all software and all types or products and services relating to the computer industry now known or which may hereafter be invented and to carry on such other businesses as may be conveniently or advantageously combined with these businesses and also to establish, promote, purchase, set-up or connect with and/or lease any database, network, data and information processing centres for dissemination of knowledge and informa

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

related to the Computer, communications and information technology industry in all its ramifications.

4. To carry on in India or elsewhere the business of produce, promote, project, participate, manufacture, manipulate, treat, process, prepare, alter, develop, expose, edit, exhibit, make, remake, display, print, reprint, convert, duplicate, finish, buy, sell, run, telecast, import, export and to act as brokers, agents, distributors, proprietors, copyright owners, dubbing right owners, cinema studio owners, dance, music, post production, special effects, 3-D animation studio and other studio owners, web owners etc. other kinds of cinematographic films, video films, telefilms, documentary films, advertising films, T. V. Serials, slides, video software and other programmes, audio cassettes, video cassettes, compact discs, Digital video Display (DVD) and other electronic/electromagnetic or digital devices, in all languages prevailing in the world and to establish, own, run and operate television or video channels, cable network or satellite network and to do all such other acts and things as are necessary and incidental to the business of film / television industry in general and also to carry out the business of making Video Films, other Films for the Television Media and Screen.

(B) OBJECTS INCIDENTAL OR THE ATTAINMENT OF THE ABOVE MAIN OBJECTS:

To enter into any agreement for financial and managerial, and/or technical collaboration,
for any of the objects of the Company with any Indian or foreign agency, individual,
firm, company or Government undertaking either in India or abroad
To cause the Company to be recognised in any foreign country or place and to open
branches in India or outside for the Company.
To construct and develop residential or industrial colonies for the general advancement of the employees of the Company, and also for letting out and selling on an instalment basis.
To enter into a partnership or into any arrangement for sharing profits, union of interest, joint venture or reciprocal interest with any person, firm or company carrying on or engaged in any business which the Company is authorised to carry on.

(C) OTHER OBJECTS: -

1. To undertake, carry out, promote or sponsor any Programme of rural health or development, including any programme for mass immunisation or for promoting the health, social and. economic welfare or the uplift of the public in any rural or

BLUECHIP INDIA LTD. KOLKATA

other areas, to assist in the execution and promotion of any such programme, either directly or through the agency of any person or persons or in any other manner and to incur expenditure on
any such programmes with the power to the Directors to transfer with or without consideration,
or divert the ownership of any property of the Company to or in favour of any person or persons, including any public or local body or authority, the Central or State Government, any public institution or any trust or fund as approved by the Central Government or State Government or any other appropriate authority.
Without prejudice to the generality of the foregoing, the words "Rural Area' shall include such areas as may be regarded as rural areas under Section 35CC of the Income Tax Act, 1961 or any other law relating to rural development for the time being in force or as may be regarded by the Directors as rural areas.

4.2. The Company is primarily engaged in the business of the above-stated main object.

4.3. In the last five years:

(a) The Name and Object of the company have not changed.
(b) There is no change in the registered office of the Company from one state to another.
(c) There was no increase in the Authorised capital of the Company.
(d) There was no change of Management of the Company in compliance with Regulation 3 & 4 of the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, during the Financial Year 2024-2025 and around September 2023.

4.4 The Company is a Listed Company and presently listed with NSE, BSE & CSE. Being a Listed Company, the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('**SEBI LODR Regulations**') apply to the Company.

5. CAPITAL STRUCTURE OF THE COMPANY

5.1. The authorised, issued, subscribed and Paid-Up share capital of the Company as on 31st March 2025 was as under:

A. Authorised Share Capital	**Amount in Rs.**
107,500,000 Equity Shares of Rupees 2/- each	21,50,00,000
Total	
B. Paid-up capital	11,06,08,68

BLUE CHIP INDIA LTD. KOLKATA

	0
55304340 Equity Shares of Rs 2/* each	

6. COMPLIANCE WITH TAX LAWS

The Scheme has been drawn up to comply with the provisions of the Income-Tax Act, 1961, to the extent applicable. If any terms or the provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the Act at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Scheme becomes effective, the provisions of the Income-tax Act, 1961 shall prevail and the Scheme shall stand modified to that extent determined necessary to comply with the provisions of the Income-tax Act, 1961.

PART C

REDUCTION OF SHARE CAPITAL OF THE COMPANY

7. RATIONALE AND PURPOSE OF REDUCTION OF SHARE CAPITAL

7.1. The company suffered losses on account of Manufacturing, buying, selling and other businesses from time to time due to commercial market conditions both in India & Abroad. Non-receipt of the outstanding dues from various parties after follow-ups, legal recourses, etc.

7.2. The Company has been incurring losses for the past couple of years, and due to business losses and inadequate working capital facilities, the present business of the Company has suffered. The Board could not scale the businesses because of proper financial restructuring on account of accumulated losses, part of the financials of the Company.

7.3. In view of the accumulated carry forward losses that the Company's Balance

BLUE CHIP INDIA LTD. KOLKATA

Sheet is not reflecting at its actual value and with the prospect of growth and value addition to the shareholders, the Company has proposed to clean its books thereby enabling the Company to raise future resources considering the expansion programs that has been considered for development would need huge amount of investment both in terms of equity as well as debt.

7.4. The company is therefore unable to raise any finance either from the capital markets or financial institutions, whether in the form of equity or debt, to undertake business activities on a larger scale. The proposed reduction of capital would enable the company to correct its existing capital by reduction and to show the actual financial position in its balance sheet to depict the represented Assets value, which in turn will enable it to approach financial assistance in order to develop its business value.

7.5. The reduction envisaged under this Scheme will not have any impact on the shareholding pattern or the capital structure of the Company. The proposed reduction will be for the benefit of the Company and its shareholders.

7.6. The proposed reduction of share capital also does not envisage any payout to any shareholder or any sacrifice on the part of any creditor. Accordingly, the reduction of share capital should not result in any adverse impact on the creditors.

7.7. The proposed reduction of the Paid-Up share capital of the company does not involve any payment of the paid-up share capital to the shareholders of the Company, nor does it result in the extinguishment of any liability or diminution of any liability or any outstanding payments to any creditors.

7.8. The Scheme does not envisage transfer or vesting of any properties and/or liabilities of the company to any person or entity. The Scheme does not involve any conveyance or transfer of any property of the Company.

7.9. The reduction of Capital does not result in diminution of any liabilities of the Company, in respect of any unpaid capitals, nor entails payment to any shareholder of any Paid-Up capital.

7.10. The Management of the Company, in compliance with Regulation 3 & 4 of the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, changed, and the new management to boost the businesses of the company needs to restructure the capital of the Company.

8. OBJECTS / BENEFITS ARISING OUT OF THE SCHEME

8.1. The Company's book would more accurately represent its financial position.

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

8.2. The right-sizing of the balance sheet is likely to facilitate the efforts of the Company while raising funds and obtaining debt from Banks and Financial Institutions.

8.3. This reduction of capital of the company will help the company to raise fresh capital on a private placement basis, right issue or any other permissible mode as per the applicable Laws.

8.4. The right-sizing of the balance sheet is also likely to facilitate the efforts of the Company while raising funds and commercial growth of the Company.

8.5. The Scheme is only for the reduction of share capital of the Company, and it does not envisage transfer or vesting of any properties and/or liabilities to or in favour of the Company.

8.6. This Scheme is in the interest of all the shareholders, creditors and other stakeholders of the Company and is not prejudicial to the interests of the concerned shareholders, creditors or the public at large.

8.7. Hence, the Board believe that to present a fair position of the affairs of the Company, the most efficient option available to the Company would be to utilize the balance lying in the Profit and loss Account, securities premium accounts, partly paid up capital, general reserves, retained earnings to the extent of writing off the Accumulated Losses of the Company, subject to the confirmations/sanctions of the requisite majority of the shareholders of the Company and the NCLT and such other appropriate authority, as may be applicable and as per the provisions of Companies Act, 2013 and rules framed thereunder.

8.8. By virtue of Article 38 of the Articles of Association of the Company, the Company is authorised to reduce its share capital in any manner and in accordance with the provisions of the Companies Act, 2013.

As per Article 38 of the Articles of Association of the Company: the Company may, by special resolution, reduce in any manner and with and subject to, any incident authorised and consent required by Law: -

(a) Its share capital;
(b) Any capital redemption reserve account; or
(c) Any share premium account

9. EFFECTS OF THE SCHEME

9.1. As on 31st March 2025, the Company has Accumulated Losses of Rs. (21,53,74,450)/- (Twenty-One Crore Fifty-Three Lakhs Seventy-Four Thousand

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

Four Hundred and Fifty only). The Accumulated Losses are reflected as a debit balance under "Retained Earnings" as a part of "Other Equity".

9.2. The Net worth of the Company as on 31st March 2025 is Rs. (7,36,67,118) (Seven Crores Thirty Six Lakhs Sixty Seven Thousand One Hundred and Eighteen Only). The losses were on account of adverse market conditions, and accumulated losses in the past 5 years are as under:

Year	Equity Capital (A) (Rs.)	Securities Premium (B) (Rs.)	General Reserve (C) (Rs.)	Accumulated loss (D) (Rs.)	Net Worth E=(A+B+C)-D
2020-21	11,06,08,680	2,73,93,500	37,05,152	(16,45,65,234)	(22857902)
2021-22	11,06,08,680	2,73,93,500	37,05,152	(16,70,54,000)	(25346668)
2022-23	11,06,08,680	2,73,93,500	37,05,152	(16,01,61,000)	(18453668)
2023-24	11,06,08,680	2,73,93,500	37,05,152	(18,95,30,000)	((47822668)
2024-25	11,06,08,680	2,73,93,500	37,05,152	(21,53,74,450)	(73667118)

9.3. Net worth of the Company as on 31st March 2025:

Net worth As on 31st March 2025	Rs.
Fully Paid Up: 5,53,04,340 Equity Shares of Rupees 2/- each	11,06,08,680
Add: Securities Premium	27393500.00
Add: General Reserve	3705152
Less: Accumulated loss as at 31.03.25	(21,53,74,450)
Net Worth as at 31/03/2025(A+B+C-D)	(7,36,67,118)

Net Worth of the Company as on 30th September, 2025

Net worth As on 31st March 2025	Rs.
Fully Paid Up: 5,53,04,340 Equity Shares of Rupees 2/- each	11,06,08,680
Add: Securities Premium	2,73,93,500.00
Add: General Reserve	37,05,152.62
Less: Accumulated loss as at 31.09.25	(21,80,23,450.00)
Net Worth as at 31/09/2025(A+B+C-D)	(7,63,16,118.00)

9.4. **Capital Reduction:**

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

Four Hundred and Fifty only). The Accumulated Losses are reflected as a debit balance under "Retained Earnings" as a part of "Other Equity".

9.2. The Net worth of the Company as on 31st March 2025 is Rs. (7,36,67,118) (Seven Crores Thirty Six Lakhs Sixty Seven Thousand One Hundred and Eighteen Only). The losses were on account of adverse market conditions, and accumulated losses in the past 5 years are as under:

Year	Equity Capital (A) (Rs.)	Securities Premium (B) (Rs.)	General Reserve (C) (Rs.)	Accumulated loss (D) (Rs.)	Net Worth E=(A+B+C)-D
2020-21	11,06,08,680	2,73,93,500	37,05,152	(16,45,65,234)	(22857902)
2021-22	11,06,08,680	2,73,93,500	37,05,152	(16,70,54,000)	(25346668)
2022-23	11,06,08,680	2,73,93,500	37,05,152	(16,01,61,000)	(18453668)
2023-24	11,06,08,680	2,73,93,500	37,05,152	(18,95,30,000)	((47822668)
2024-25	11,06,08,680	2,73,93,500	37,05,152	(21,53,74,450)	(73667118)

9.3. Net worth of the Company as on 31st March 2025:

Net worth As on 31st March 2025	Rs.
Fully Paid Up: 5,53,04,340 Equity Shares of Rupees 2/- each	11,06,08,680
Add: Securities Premium	27393500.00
Add: General Reserve	3705152
Less: Accumulated loss as at 31.03.25	(21,53,74,450)
Net Worth as at 31/03/2025(A+B+C-D)	(73,6,47,118)

Net Worth of the Company as on 30th September, 2025

Net worth As on 31st March 2025	Rs.
Fully Paid Up: 5,53,04,340 Equity Shares of Rupees 2/- each	11,06,08,680
Add: Securities Premium	2,73,93,500.00
Add: General Reserve	37,05,152.62
Less: Accumulated loss as at 31.09.25	(21,80,23,450.00)
Net Worth as at 31/09/2025(A+B+C-D)	(7,63,16,118.00)

9.4. **Capital Reduction:**

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

The proposed reduction in capital of the company is as under:

Particulars			(Amount in Rs.)
	As on 31st March 2025(Rs.) (A)	Proposed Utilization of losses for reduction of capital(Rs.) (B)	Balance capital post Capital Reduction C = A-B (Rs.)
Fully Paid-Up capital (Equity shares) consists of 5,53,04,340 equity shares of face value of Rs. 2/- each	11,06,08,680	10,95,02,592	11,06,088

The Appointed date is 01st April, 2025, hence the Audited Accounmts AS ON 31ST March, 2025 has been considered

Following the reduction of capital, the Paid-Up capital of the Company will consist of 5,53,044 fully paid-up equity shares of a face value of Rs. 2/- each, aggregating to Rs. 11,06,088/- (Rupees Eleven Lakh Six Thousand and Eighty-Eight only).

9.5. **ACCOUNTING TREATMENT**

Upon the Scheme under Section 66, read with Section 52 of the Act, becoming effective, the Company shall account for the reduction of share capital in its books of account under applicable accounting standards and other accounting principles.

9.5.1 With effect from the appointed date and upon the scheme becoming effective, the amount of share capital as extinguished as per this clause shall be reduced from the Equity Share Capital of the company (including partly paid up shares) and correspondingly from the debit balance of the Profit and Loss account, Securities Premium, retained earnings, etc. of the Company.

9.5.2 The company will comply with all the relevant accounting policies and Indian Accounting Standards and relevant provisions as per section 133 of the Companies Act, 2013, to the extent applicable to the company about the accounting for Reduction of capital and correspondingly writing of accumulated losses of the Company and any other relevant provisions of the Laws for the time being in force.

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

9.6. Post Reduction the capital of the Company: Upon Scheme being effective, the amount standing under the Heading of other equity as explained in clause 9.4 issued, subscribed & the Paid-Up capital of the Company will consist of 5,53,044 fully paid-up equity shares of a face value of Rs. 2/- each, aggregating to Rs. 11,06,088/- (Rupees Eleven Lakh Six Thousand and Eighty-Eight only).

9.7. **FRACTIONAL SHARES:**

In respect of the fractional shares, if any, caused by the reconstruction/restructuring of capital, the same shall be rounded off to the nearest whole number. However, here the reconstruction/restructuring of capital shall not cause any shareholder to hold any fractional shares in the Company.

10. PRE AND POST SHAREHOLDING PATTERN

10.1. Pending convertible warrants into equity shares: There were no convertible warrants to be converted into equity shares pending for allotment in the company.

10.2. Partly Paid-Up Shares: The Company has no partly Paid-Up shares as on the date. Through this scheme of reduction of Share capital, the same will be extinguished fully in compliance with section 66 of the Companies Act, 2013, and rules framed thereunder.

10.3. The shareholding pattern of the Company and the percentage of holdings shall remain unchanged on account of the reduction of capital of the Company. The pre- & post Shareholding pattern of the company as effective date is as under:

Category	Particulars	Prior, to the Scheme of Arrangement		Post reduction under the Scheme	
		No. of Shares	% to Total	No. of Shares	% to Total
(A)	Promoters & Promoter Group	6220270	11.25	124435	11.25
(B)	Public	49084074	88.75	428609	88.75
(C)	Shares Underlying DRS.	-	-	-	-

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

(D)	Shares held by the employee trust	-	-	-	-
	TOTAL	**55304344**	**100**	**553044**	**100**

10.4. There shall be no change in the shareholding pattern of the promoter holdings of the Company on account of the reduction of capital of the Company.

11. CORPORATE ACTION AND OTHER PROVISIONS AT THE TIME OF ISSUE OF SHARES

11.1. The said new Equity Shares issued and allotted by the Company, in terms of this Scheme, shall be subject to the provisions of the Memorandum and Articles of Association of the Company.

11.2. The shares to be issued to the members of the Companies shall rank for voting rights and in all respects pari-passu with the existing Equity Shares of the Company and having the same ratio.

11.3. The Company shall issue Equity shares within 120 days from the date of registration of the order with the Registrar of Companies or the sanction of this scheme by the Hon'ble Court(s), whichever is later.

11.4. The company will make necessary applications to the NSDL &CDSL, the depository for admission of the new capital of the company to be raised on account of the Reduction of capital of the Company.

11.5. **CANCELLATION OF SHARES**

Upon this reduction becoming finally effective, to all the shareholders in the case of shares held in dematerialised and electronic form, the required procedure for reflecting the change in the holdings of the members of the Company, as a consequence of the sanctioning of this Scheme, shall be adopted for making the necessary alterations in the Depository Accounts of the shareholders.

Those shareholders whose holding presently in physical form, the company will issue and allot entitled shares post reduction of capital new share certificates to the Shareholders whose names shall appear in the Register of Members of the Company on such Record Date fixed as aforesaid post reduction of capital and the old share certificates held by them in the Company shall be deemed to have been automatically cancelled and cease to be negotiable and be of no commercial or legal value, on and from the Record Date.

The Company, instead of requiring the surrender of the old share certificates

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

above, directly issues and dispatches the new share certificates of the Company in lieu thereof.

12. DESIGNATED STOCK EXCHANGE

The Company is listed on the NSE & BSE. The designated stock exchange for interaction with SEBI shall be BSE.

13. COMPLIANCE WITH LISTING AGREEMENT

13.1. Notwithstanding the reduction of capital of the Company in pursuance of this Scheme, the listing benefits of the Company on the BSE where the shares of the Company are listed shall continue, and the Company will comply with the applicable provision of the SEBI (LODR) Regulations, 2015 and the Listing Agreement with the NSE & BSE.

The Company shall enter into such arrangements and give such confirmations and/or undertakings as may be necessary in accordance with the applicable laws or regulations for complying with the formalities of the said Stock Exchanges as per the SEBI (LODR) Regulations, 2015. On such formalities being fulfilled, the said Stock exchanges shall list and/or admit such equity shares also for trading.

13.2. For the purpose of issuing equity shares to the shareholders of the Company shall, if and to the extent required, apply for and obtain the required statutory approvals, including approval of the Reserve Bank of India and other concerned regulatory authorities for the issue and allotment by the Company of such equity shares

13.3. The New Equity shares issued and allotted to the members post reduction of the capital of the company under this scheme may be listed and/or admitted to trading on the NSE & BSE, where the shares of the Company are listed and/or admitted to trading in terms of the applicable bye-laws and regulations.

13.4. As per Regulation 37 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and as the applicable SEBI amendment connected with regulation 37(6) of the Listing Regulations, vide gazette notification dated December 12, 2024, inter alia read as:

"Nothing contained in Regulation 37 shall apply to draft schemes which solely provide for writing off accumulated losses against the share capital of the listed entity applied uniformly across all shareholders on a pro-rata basis or against the reserves of the listed entity, if such draft schemes are filed with recognised stock exchanges for disclosures."

Hence, the company, after filling the Scheme documents with NSE & BSE and on obtaining necessary approval from the Shareholders, will approach the Hon'ble

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

Tribunal.

PART D

GENERAL TERMS AND CONDITIONS

14. CONDUCT OF BUSINESS BY THE COMPANY

The Scheme does not involve any financial outlay/outgo and therefore, would not affect the ability or liquidity of the Company to meet its obligations/commitments in the ordinary course of business. Further, this Scheme would also not in any way adversely affect the ordinary operations of the Company during the course or after the approval of the Scheme.

15. IMPACT OF THE SCHEME ON EMPLOYEES

This Scheme would not in any way adversely affect the Employees of the Company. On the Scheme becoming effective, all Employees in the service of the Company immediately before the Scheme shall stay as the Employees of the Company without any break or interruption in their services, on the same terms and conditions on which they are engaged as on the Effective Date. The Company undertakes to continue to abide by the terms of the agreement/settlement entered into with the employees' union/employees or associations. The terms and conditions of service applicable to the Employees shall not in any way be less favourable to them than those applicable to them immediately before the Scheme.

16. **IMPACT OF THE SCHEME ON CREDITORS / LENDERS / FINANCIAL INSTITUTIONS**

This Scheme would not in any way adversely affect the ordinary operations of the Company or the ability of the Company to honour its commitments or pay its debts in the ordinary course of business. The Creditors of the company will not be affected by this reduction of capital, as their claim has not been diluted or altered or alienated directly or indirectly for this Capital Reduction.

Also, this Scheme does not in any manner whatsoever alter, vary, or affect the rights of the creditors/lenders / financial institutions or the payment of outstanding dues of statutory authorities or any other creditor which is payable or outstanding.

The Company has not accepted or renewed any fixed deposits.

17. CHANGE OF MANAGEMENT

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

There will be no change of Management or shareholding of the promoters on account of the Reduction of capital.

18. LEGAL PROCEEDINGS

Without prejudice to the foregoing, if any suit, cause of actions, appeal or other legal, quasi-judicial, arbitral or other administrative proceedings of whatever nature by or against the Company is pending on the Effective Date, the same shall not abate, be discontinued or be in any way prejudicially affected by reason of this reduction of share capital or of anything contained in this Scheme, but the proceedings of the Company will be continued, prosecuted and enforced by or against the Company in the same manner and to the same extent as it would be or might have been continued, prosecuted and enforced by or against the Company before this Scheme.

19. CONTRACTS, DEEDS, AGREEMENTS AND OTHER INSTRUMENTS

Subject to other provisions contained in the Scheme, all contracts, deeds, bonds, insurance, letters of intent, undertakings, arrangements, policies, agreements and other instruments, if any, of whatsoever nature to which the Company is a party subsisting or affecting immediately on the Effective Date, shall remain in full force and effect against or in favour of the Company, as the case may be, and shall be enforced by or against the Company as fully and as before this Scheme.

20. APPLICATION TO NATIONAL COMPANY LAW TRIBUNAL

The Company shall make necessary application/petition under Section 66, read and other applicable provisions of the Act, read with Rules framed thereunder, to the NCLT for seeking the approval of the Reduction of capital of the Company under this drafted Scheme.

Presently, the Registered Office of the Company is located in the State of West Bengal under the jurisdiction of the Registrar of Companies, Kolkata. For the purposes, it is considered for the NCLT jurisdiction at Kolkata, West Bengal and Registrar of Companies at Kolkata, West Bengal.

21. MODIFICATIONS / AMENDMENTS TO THE SCHEME

21.1. The Company, by its Board or such other committee/person or persons, as the Board may authorize, may assent to withdrawal of the Scheme in its entirety or to make and/or consent to any modifications/amendments of any kind to the Scheme or to any conditions or limitations that the NCLT / SEBI/ BSE/NSE and/or any other authority under law may deem fit to direct or impose, or which may otherwise be considered necessary, desirable or appropriate, whether as a result of subsequent events or otherwise, by the Board.

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

21.2. The Company, by its Board, are authorized to take all such steps as may be necessary, desirable or proper to resolve any doubts, difficulties or questions whatsoever for carrying the Scheme into effect, whether by reason of any directive or order of any authority or howsoever, arising out of or under or by virtue of the Scheme and/or any matter concerned or connected therewith.

21.3. The Company shall be at liberty to withdraw from this Scheme, in case of any condition or alteration imposed by the NCLT or any other authority or otherwise, if so mutually agreed in writing by the Company.

22. CONDITIONALITY OF THE SCHEME

The Scheme is and shall be conditional upon and subject to:

22.1. The Scheme is being approved by the shareholders of the Company by way of a Special resolution in a general meeting of the Company;

22.2. As per the SEBI Circular bearing No. SEBI/LAD-NRO/GN/2024/218 December 12, 2024 and provisions of Regulation 37 of SEBI (LODR) Regulations, 2015, the Company is not required to make any application for obtaining any observation letter / no-objection letter from the NSE & BSE for the implementation of the Scheme of reduction of capital. The company is required to file a copy of the scheme of reduction of capital under section 66 of the Companies Act, 2013, and rules framed thereunder to the designated Stock Exchange.

22.3. The Scheme being sanctioned by the NCLT under Section 66 of the Act and the Rules framed thereunder;

22.4. Certified true copy of the Order of the Hon'ble NCLT being filed with the Registrar of Companies, by the Company.

23. EFFECT OF NON-RECEIPT OF APPROVALS / SANCTIONS

In the event of any of the said sanctions and approvals referred to in the Clause 9, 11 and 13 being denied or not being available, this Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any rights and/or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law.

24. DATE OF TAKING EFFECT AND OPERATIVE DATE

The Scheme set out herein in its present form or with any modification(s) and amendments(s) made as per the direction of the NCLT or any Appropriate

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

Authority, as the case may be, shall be effective from the Effective Date and binding upon all the stakeholders.

25. SEVERABILITY

If any part or section of this Scheme is found to be unworkable for any reason whatsoever, the same shall not, subject to the decision of the Board, affect the adoption or validity or interpretation of the other parts and/or provisions of this Scheme. It is hereby clarified that the Board, in their absolute discretion, may adopt any part of this Scheme or declare the entire Scheme to be null and void, and in that event, no rights and liabilities whatsoever shall accrue to or be incurred inter se by the Company or its shareholders or creditors or Employees or any other person.

26. COSTS, CHARGES AND EXPENSES

All costs, charges, duties and levies (except for stamp duty costs) arising out of or incurred in carrying out and implementing this Scheme of reduction of capital and matters incidental thereto shall be borne by the Company.

27. FORM OF MINUTE UNDER SECTION 66(5) OF THE ACT

The form of minute proposed to be registered under Section 66(5) of the Act is as follows:

"(a) The paid-up capital of the company is Rs. 11,06,088 /-, consisting of 55,30,440 fully paid-up Equity shares of Rs 2/- each.

(b)The Company shall not be required to use the words "AND REDUCED" as part of its corporate name, and such use is dispensed with.

28. CORPORATE ACTION AND OTHER PROVISIONS AT THE TIME OF ISSUE OF SHARES POST REDUCTION OF CAPITAL OF THE COMPANY

28.1. The said new Equity Shares issued and allotted by the Company post reduction of the Capital will be in terms of this Scheme shall be subject to the provisions of the Companies Act, 2013 and rules framed thereunder read with the provisions of Memorandum and Articles of Association of the Company and the Ssecurities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

28.2 The shares to be issued to the members/ allottees of the Companies shall rank for voting rights and in all respects pari-passu with the existing Equity Shares of the Company and having the same ratio.

28.3 New Equity shares of the Company issued may be listed and/or admitted to trading on the NSE & BSE, where the shares of the Company are listed and/or

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

admitted to trading in terms of the applicable bye-laws and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

28.4 The Company shall enter into such arrangements and give such confirmations and/or undertakings as may be necessary in accordance with the applicable laws or regulations for complying with the formalities of the said Stock Exchanges as per SEBI (LODR) Regulations, 2015. On such formalities being fulfilled, the said Stock exchanges shall list and/or admit such equity shares also for trading.

28.5 For issue of equity shares to the shareholders, the Company shall, if and to the extent required, apply for and obtain the required statutory approvals, including approval of the Reserve Bank of India and other concerned regulatory authorities for the issue and allotment by the Company of such equity shares.

28.6 The Equity Shares to be issued by the Company pursuant to this Reduction of capital, in respect of Equity Shares which are not fully paid-up, shall be reduced through this scheme of Reduction of Capital.

28.7 The Company shall issue Equity shares within 120 days from the date of registration of the order with the Registrar of Companies or the sanction of this scheme by the Hon'ble Court(s) whichever is later.

28.8. The company will make necessary applications to the NSDL & CDSL, the depository, for admission of the new capital of the company to be raised on account of the Reduction of capital of the Company.

29. CANCELLATION OF SHARES

Upon this reduction becoming finally effective, all the shareholders, if so required by the Company, shall surrender their share certificates for cancellation thereof.

However, the Company may, instead of requiring the surrender of the old share certificates, as above, directly issue and dispatch the new share certificates of the Company in lieu thereof.

In the case of shares held in dematerialised and electronic form, the required procedure for reflecting the change in the holdings of the members of the Company, as a consequence of the sanctioning of this Scheme, shall be adopted for making the necessary alterations in the Depository Accounts of the shareholders.

Notwithstanding anything to the contrary, upon the issue of the new share certificates in the Company to the Shareholders whose names shall appear in the Register of Members of the Company on such Record Date fixed as aforesaid by

BLUE CHIP INDIA LTD. KOLKATA

BLUE CHIP INDIA LTD. KOLKATA

reduction of capital, the old share certificates held by them in the Company shall be deemed to have been automatically cancelled and cease to be negotiable and be of no commercial or legal value, on and from the Record Date.

For Blue Chip India Limited

BLUE CHIP INDIA LTD.

Authorized Signatory/Director

Arihant Jain

DIN: 00174557

Managing Director

Dated on:

BLUE CHIP INDIA LTD. KOLKATA